

Ans 9

1) Spend 1,00,000 $\longrightarrow$ 1,50,000

$$\text{Change in spend} = \frac{1,50,000 - 1,00,000}{1,00,000} \times 100$$

$$= 50\% \uparrow$$

2) clicks 7143 $\longrightarrow$ 10,000

$$\text{Change} = \frac{10,000 - 7143}{7143} \times 100 = 40\% \uparrow$$

$$3) \text{ CPC} = \frac{\text{Ad spend}}{\text{click}} = \frac{\text{previous } 1,00,000}{7143} = 14$$

$$\frac{\text{current } 1,50,000}{10,000} = 15$$

4) conversions 500 $\longrightarrow$ 450

$$4) \text{ conversion rate} = \frac{\text{Conv.}}{\text{clicks}} \times 100$$

$$\frac{\text{previous}}{500} \times 100 = 7\%$$

$$7143$$

$$\frac{\text{current}}{450} \times 100 = 4.5\%$$

$$10,000$$

∴ conv. rate decreased from 7% to 4.5%

$$5) \text{ CPA} = \frac{\text{Ad spend}}{\text{conv.}}$$

$$\text{Previous} = \frac{1,00,000}{500} = 200$$

$$\text{Current} = \frac{1,50,000}{450} = 333.33$$

∴ CPA increased from 200 to 333.33

⇒ acquiring a customer has become expensive.

$$6) \text{ ROAS} = \frac{\text{Revenue}}{\text{Ad spend}}$$

$$\text{Previous} = \frac{5,00,000}{1,00,000} = 5 \text{ times}$$

$$\text{Current} = \frac{4,50,000}{1,50,000} = 3 \text{ times}$$

∴ ROAS decreased from 5 times to 3 times

Revenue ₹ 5 L — ₹ 4.5 L
decreased

10% ↓

∴ No, I don't agree with management -
Although clicks increased by 40%,
the campaign's overall performance
did not improve as

conversion rate ↓	(7% → 4.5%)
CPA ↑	(£ 200 → £ 333.33)
ROAS ↓	(5 X → 3 X)
Revenue ↓	(By 10%)
ad spend ↑ not to be	

⇒ The campaign generated more traffic,
but poorer conversions & lower economic
return.

Ans 10

$$1) \text{ Conv. rate} = \frac{\text{conv.}}{\text{sessions}} \times 100$$

$$\text{SEO} = \frac{2,000}{1,00,000} \times 100 = 2\%$$

$$\text{Google Ads} = \frac{1,000}{20,000} \times 100 = 5\%$$

$$2) \text{ Revenue} = \text{conversions} \times \text{Avg. course price}$$

$$\text{SEO} = 2000 \times 5000 = 1000000$$

$$\text{Google Ads} = 1000 \times 5000 = 5000000$$

$$3) \text{ CPA} = \frac{\text{Ad spend}}{\text{Conv.}}$$

$$\text{SEO} = \frac{3,00,000}{2,000} = 150$$

$$\text{Google Ads} = \frac{35,00,000}{1,000} = 3,500$$

$$4) \text{ Google Ads ROAS}$$

$$\text{ROAS} = \frac{\text{Revenue}}{\text{Ad spend}}$$

$$= \frac{5000000}{35,00,000} = 1.43 \text{ times}$$